

STOCK MARKET BASICS

Research Report

Task: Task 1 – Stock Market Basics Research Report

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Introduction

The stock market is an important part of the financial system because it provides a platform where shares of companies can be bought and sold. A share represents a small portion of ownership in a company. When an individual purchases shares of a company, they become a shareholder and own a proportion of that company based on the number of shares they hold. The stock market connects companies that need funds with investors who want to invest their money.

This report explains the basic concept of the stock market, the difference between the primary and secondary markets, and the role of the Securities and Exchange Board of India (SEBI) in regulating and developing India's securities market.

1. What is the Stock Market?

The stock market is a marketplace where investors can buy and sell shares and other securities. Companies can issue shares to raise money for their business, while investors can purchase these shares to become part owners of those companies. For example, if a company has 100,000 shares and an investor owns 10,000 shares, the investor owns 10% of the company.

The stock market allows companies to raise capital for different purposes, such as expanding their business, purchasing equipment, hiring employees, developing new products, or opening new branches. Instead of borrowing all the required money from a bank, a company can raise funds by offering ownership through shares.

For investors, the stock market provides an opportunity to invest in companies and potentially earn returns. An investor may benefit if the value of their shares increases. Some companies may also distribute part of their profits to shareholders in the form of dividends, although dividends are not guaranteed.

The stock market also plays an important role in the economy by helping move money from investors to businesses that may use it for growth and development. However, investing in shares also involves risk because share prices can increase or decrease depending on company performance, economic conditions, market demand, and other factors.

2. Primary Market vs Secondary Market

The stock market can be understood through two important concepts: the **primary market** and the **secondary market**.

Primary Market

The primary market is where securities are issued and sold to investors for the first time. In this market, the company itself is involved in raising capital from investors. The money received from the sale of newly issued shares goes to the company, which can use it for business purposes.

For example, suppose a bakery wants to expand its business but needs additional funds. The bakery could issue shares to investors. If investors purchase these newly issued shares, the money raised goes to the bakery. In return, the investors become shareholders and receive ownership according to the number of shares they hold.

An Initial Public Offering (IPO) is a common example of a primary-market activity. Through an IPO, a private company can offer its shares to the public and become listed on a stock exchange.

Secondary Market

The secondary market is where investors buy and sell securities that have already been issued. In this case, the transaction takes place between investors rather than directly between the company and the investor.

For example, if Ahmed purchased shares of a company and later decided to sell those shares to Sara, Sara would pay Ahmed for the shares. The company would not receive the money from this particular transaction because Ahmed is the seller.

The secondary market makes it easier for investors to buy and sell their investments. It also provides liquidity, meaning investors can generally sell their shares rather than having to keep them until the company itself buys them back.

Therefore, the main difference is simple: **the primary market involves the company issuing securities to raise funds, while the secondary market involves investors trading securities among themselves.**

3. Role of SEBI in India

The **Securities and Exchange Board of India (SEBI)** is the regulatory authority responsible for overseeing India's securities market. It was established to help protect investors, regulate the securities market, and promote its development.

One of SEBI's major roles is **investor protection**. SEBI works to protect investors from fraudulent and unfair practices and helps promote transparency in the securities market. Investors need reliable information when making investment decisions, so proper disclosure and fair practices are important.

SEBI also **regulates the securities market** by establishing rules and overseeing market participants. These include stock exchanges, brokers, investment-related entities, and other participants in the securities market. Regulation helps reduce practices such as market manipulation, fraud, and misleading activities.

Another important role of SEBI is **developing the securities market**. It works to improve the efficiency, transparency, and orderly functioning of the market. Through regulations and reforms, SEBI contributes to creating a more organized environment for investors and companies.

Overall, SEBI plays an important role in maintaining confidence in India's securities market. By protecting investors, regulating market activities, and supporting market development, it helps create a fairer and more transparent financial environment.

Conclusion

The stock market provides an important connection between companies seeking funds and investors seeking opportunities to invest. Shares represent ownership in companies, and investors can buy and sell these shares through the stock market. The primary market allows companies to raise new funds by issuing securities, while the secondary market allows existing investors to trade securities with one another. In India, SEBI plays a central role in protecting investors, regulating market activities, and supporting the development of the securities market. Understanding these basic concepts is important for anyone beginning to learn about investing and financial markets.

References

1. Securities and Exchange Board of India (SEBI) – Official website and investor-related information.
2. National Stock Exchange of India (NSE) – Educational information on securities markets.
3. BSE India – General information on the Indian securities market.